LAZY DOG

CAPITAL

SECURED PRIVATE LENDING · DALLAS–FORT WORTH

Sample Deal Case Study

A representative capital partner deal, start to finish.

THE PROPERTY

Property	3 Bed / 2 Bath · 1,450 sq ft · Fix & Flip
Appraised value (ARV)	$320,000
Purchase price	$200,000
Rehab estimate	$50,000
Estimated purchase to finish	7 – 9 months

HOW THE LOAN AMOUNT IS SET

Every loan is 80% of the after-repair value — the appraised value of the finished home. One number, no second formula. Sizing the loan against what the property will be worth finished, rather than what the borrower paid for it, builds a 20% equity cushion into the project before anyone's money is at risk.

0.80 × $320,000 = $256,000 *the loan amount for this deal*

SOURCES

Where the capital in this deal comes from, and how it is committed — at the closing table and through the construction holdback.

SOURCE	AT CLOSING	HOLDBACK	TOTAL
Capital Partner	$140,800	—	$140,800
Lazy Dog Capital	$39,200	$76,000	$115,200
Amount lent (recorded first lien)	**$180,000**	**$76,000**	**$256,000**
Borrower down payment (equity)	$20,000	—	$20,000
Total capital in the deal	**$200,000**	**$76,000**	**$276,000**

WHAT IS THE HOLDBACK?

The $76,000 not disbursed at closing. It funds the renovation on a reimbursement basis — the borrower pays for completed work out of pocket, shows us a bank statement proving the money left their account, and one of us inspects the work in person before a dollar is released. There is no fixed number of draws. Money enters the property only after value has been added.

YOUR POSITION — A FIRST-PRIORITY SECURED CLAIM

Your capital is placed through Lazy Dog Capital, and your security is a recorded Collateral Assignment of Note and Deed of Trust.

- **One first-lien loan.** Lazy Dog lends the borrower $256,000, secured by a first-lien deed of trust recorded against the property. The borrower makes one monthly payment to Lazy Dog.
- **You are paid first.** By a Collateral Assignment recorded in the county real-property records, Lazy Dog assigns you a first-priority claim on that note and lien.
- **Of public record from day one.** Your priority records the same day the loan closes. If Lazy Dog ever failed to remit your share, the assignment lets you collect from the borrower directly and direct foreclosure.

PRIORITY OF PAYMENT

PRIORITY	WHO	AMOUNT
Costs first	Foreclosure and closing costs	—
Paid first	Capital Partner (recorded collateral assignment)	$140,800
Paid next	Lazy Dog Capital (our own money)	$115,200
Paid last	Borrower down payment (equity)	$20,000

Costs first, then you, then Lazy Dog, then the borrower. You are paid before we are.

YOUR RETURN

Capital contributed	$140,800
Monthly interest ($140,800 × 6.5% ÷ 12)	about $763 / month
Interest received over 7 to 9 months	$5,341 – $6,864
Principal returned at payoff	$140,800
Total received	**$146,141 – $147,664**

The loan may be repaid at any time with no penalty. Your principal is returned and you are paid interest through the payoff date.

DEAL TIMELINE

Month 1	Loan closes at title. First-lien deed of trust and your collateral assignment record. Purchase funds; demolition begins.
Months 2 – 3	Rehab underway. Holdback reimbursed as completed work is paid for by the borrower, verified, and inspected in person.
Months 4 – 5	Renovation complete; on the market.
Month 6	Under contract.
Month 7	Sale closes at $320,000. Loan paid in full — your $140,800 principal plus all accrued interest returned.

This example runs 7 to 9 months. Notes are written on a nine-month term with one three-month extension available. If the property ever has to be foreclosed on, repayment of your capital extends until the property is sold — you continue to earn your return the entire time, and it is paid in full from the sale proceeds.

HOW YOU ARE PROTECTED

Your principal is protected from the day you fund — and that protection only grows as the project moves forward. Here is the cushion beneath your $140,800 first-priority position at both ends of the deal.

PROTECTION BENEATH YOUR $140,800	AT CLOSING	AT FINISH
Lazy Dog Capital — our own money	$39,200	$115,200
Borrower's cash in the deal	$20,000	$20,000
Other people's cash protecting you	$59,200	$135,200
Equity created by the renovation	—	+ $44,000
Total cash + equity beneath you	**$59,200**	**about $179,200**

At closing, roughly $59,200 of other people's cash sits beneath you. By finish that climbs to $135,200, and the renovation adds created equity on top — about $179,200 of cash and equity, 56% of the finished home's value, standing in front of any loss to your principal.

DOWNSIDE STRESS TEST

How far would the price have to fall before your principal takes its first dollar of loss?

IF THE PROPERTY SOLD AT…	VS. ARV	YOUR $140,800
$320,000 (plan)	ARV	**Fully repaid**
$256,000 — a 20% miss	–20%	**Fully repaid**
$200,000 — the un-renovated purchase price	–37.5%	**Fully repaid**
$158,000 — approximate breakeven	–51%	**Fully repaid**

** Breakeven assumes your principal, all accrued interest, and an allowance for foreclosure costs are recovered first from sale proceeds.*

In plain English: this property would have to sell for roughly half its finished value — and 21% below what the borrower paid for it before a single repair — before your position is impaired. Before that happens, the borrower's $20,000 and Lazy Dog's own $115,200 absorb every dollar of loss first.